

Unlocking U.S. Growth Through Targeted Acquisition

A phased carve-out strategy delivering immediate market entry, margin expansion, and capital-efficient returns






Executive Summary

Key Question

How should ABC Thrift enter the U.S. market to achieve $50M growth while enabling long-term scalable expansion and minimizing execution risk?



Key Considerations

Speed to Scale
Establish immediate footprint & familiarity

Operational Feasibility
Ensure supply continuity & integration

Capability Alignment
Leverage ABC's strength in B&M

Further Expansion
Prioritize regions with whitespace

Solution

Carve-Out Acquisition of ReValue

ACQUIRE
Acquire ReValue's West region to gain immediate footprint, supply network, and customer base

OPTIMIZE
Execute phased integration to maintain operations while improving pricing, merchandising, and efficiency

EXPAND
Grow through targeted store expansion in high-potential white-space locations



Impacts

85M+
Inc. Revenue

21.2%
IRR

2.6x
MOIC

ABC Thrift should enter the U.S. market through a for-profit targeted carve-out of ReValue to achieve capital-efficient growth with manageable execution risk

Target Market

U.S. Market
$56B secondhand apparel market[2]
Growing 14.3% YoY

Canadian Market
$3.1B total market[3]
Growing 2.1% YoY

U.S. Expansion Rationale

- Large and fast growing market
- Strong profit and EBITDA margins
- Growth driven by macroeconomic pressure, sustainability consciousness, and TikTok trends
- Greater white space to enter
- Structurally supports $50M incremental revenue growth target

Method of Entry

1 Full Acquisition

- Acquire entire network and assets
- Gain immediate scale and control
- **Exceeds capital capacity, limiting feasibility**

2 Organic Launch

- Build stores and chain from scratch
- Maintain brand quality and control
- **Slowest to scale and highest execution risk**

3 Carve-Out Acquisition

- Acquire targeted stores
- Leverage existing distribution, store, and donor relationships
- Enable phased transition via TSA[4]

Acquisition Target

	ReValue	EcoAgain
B&M Economics	Superior B&M economics: ~70% gross margins ~31% EBIDTA	Weaker B&M economics: ~55% gross margins ~15% EBIDTA
Business Model	Store-led model prioritizing customer experience, aligning with ABC Thrift	E-commerce emphasis with limited B&M stores, making it unfamiliar to ABC Thrift
Market Penetration	Extensive store network and donor base with more future expansion potential	Limited presence in across all territories, yet ABC thrift underperforms in online sales

A targeted ReValue carve-out enables ABC Thrift to achieve $50M growth through a scalable for-profit U.S. entry that balances speed, capital efficiency, and execution risk.

Sources: [1] Case, [2] CapitalOne Shopping (2026), [3] IBISWorld (2025), [4] 8020 Consulting (2021)

A carve-out acquisition of ReValue's West region provides the optimal balance of profitability, strategic fit, and scalable entry into the U.S. thrift market

Strategic Reasoning for ABC Thrift

ABC gets immediate scale through an established store base, people, and local market presence

Lower-risk entry, giving ABC a manageable portfolio to absorb and optimize before scaling further into the U.S.

West offers the strongest expansion potential, with 658 attractive future store locations identified

West is the easiest region to enter, with a more fragmented market that lowers switching barriers

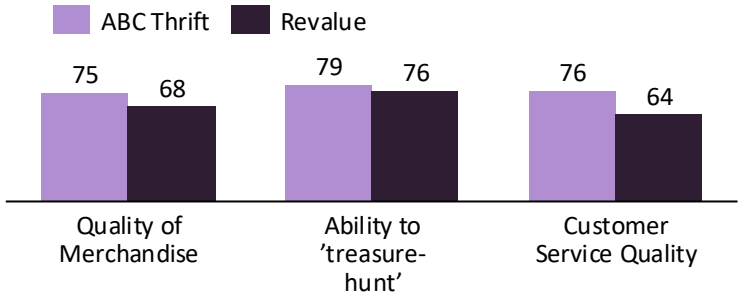
Incentive for ReValue

Non-core Asset
ReValue's West region represents ~18% of its total U.S. store count and has the lowest EBITDA of 18%

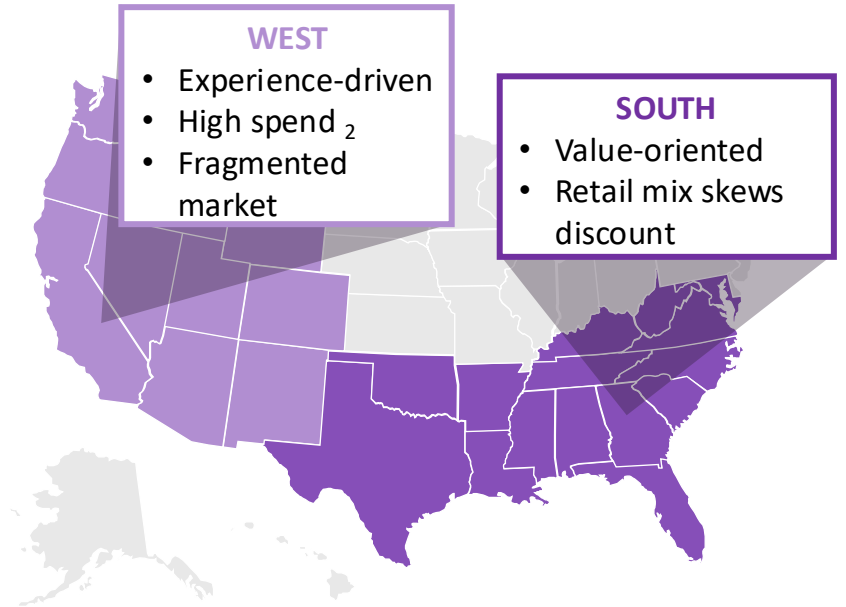
Reinvested Capital
Deliver immediate cash liquidity, enabling them to fund store upgrades, technology, or new openings in its core geographies

Capability Sharing
ABC Thrift can leverage its stronger capabilities to upgrade ReValue's base post-acquisition

% of survey responses rated as 'Good'/'Very Good'



Geographic Compatibility



Buyer Fit
West region consumers are the best match for ABC's premium vintage brand given stronger fashion, sustainability, and Gen Z thrift demand[3, 4]

Seller Willingness
South holds the bulk of ReValue's scale (240 stores). Given their strength in good pricing, they are more competitive in this region

Sources: [1] Case, [2] The Street (2022), [3] CapitalOne Shopping (2026), [4] Forbes (2026)

Phased integration enables low-risk carve-out execution while building a standalone operating platform for expansion

Integration Logic

- Prioritize **business continuity on Day 1**
- Use TSA as a **temporary bridge to independence**
- Sequence integration: **pilot → validate → scale**
- Focus initial resources on **highest-value stores**[4]

Store Segmentation

Tier 1 (Top ~20% stores)
Highest revenue/traffic locations, change immediately to ABC Thrift branding, test pricing, merchandising

Tier 2 (Rest of Stores)
Initially continue normal operations under the brand name *"ReValue (now under ABC Thrift)"*, until transition to full brand store

Pre-Close -6 to 0 months → **Phase 1** 0-12 months → **Phase 2** 12-30 months → **Phase 3** 30+ months

Enable Day 1 readiness

- Define carve-out perimeter
- Identify shared services
- Establish new legal entity + core team
- Secure supply partners
- Due diligence

Maintain consistent operation + pilot

- TSA covers critical functions
- Build operational capabilities
- Retain employees through clear communication
- Use stock from existing Europe stores
- Initial planning for workflow and profit efficiencies
- Pilot **Tier 1** stores advertising & curation[2]

Achieve independence

- Migrate off of TSA[5]
- Establish standalone processes[6]
- Apply workflow efficiencies
- Roll out **Tier 2** store rebrand
- Build brand identity through marketing

Full Market Capture

- 45 stores added by the end of the 5-year period (400+ long-term)
- Explore e-commerce possibilities primarily in Europe, but test U.S.
- Optimize store performance
- Scale ops and supply chain to support network growth

Case Study: C&S Acquiring Kroger/Albertsons

- 413–579 stores divested across 17 U.S. states
- Included full operating infrastructure: distribution centers, offices, private label brands



- Select markets retained **licensed Albertsons branding post-close**
- **Takeaway:** Brand transition can be staged to minimize disruption[3]

Sources: [1] Case, [2] McKinsey (2025), [3] Kroger (2023), [4] Kadence (2026), [5] The Buyside Desk (2025), [6] Smartroom (2025)

Successful U.S. entry requires building a self-sustaining circular marketplace for both supply and demand of thrifted merchandise

Goal: Establishing a sustainable marketplace of buyers and sellers of thrifted items

Merchandise Sourcing Channels

Initial Activation

- ReValue's existing donation & partner network
- Source lots via B2B auctions and online wholesale platforms[1]
- Import select items from Europe to seed ReValue

Long-term Sourcing

1. Expand ReValue's networks in the West to secure base volume
2. Use consignment and buy-out programs for higher-end vintage/ designer pieces[2]
3. Selective partnerships with sustainable / indie labels to take unsold stock

Target Customer

ReValue's existing customers (Keep)

- 30–55 years old
- Attracted to affordability and accessibility
- Retain short-term to maintain revenue stability

ABC Thrift's target customer (Win)

- 18-34 years old (Gen Z)
- Values sustainability, uniqueness, and self-expression[3]
- Willing to pay a premium for high-quality items
- Core long-term growth driver

Customer Acquisition

Sustainability
Sustainability model extends product life cycles and reduces waste, aligning with customer values

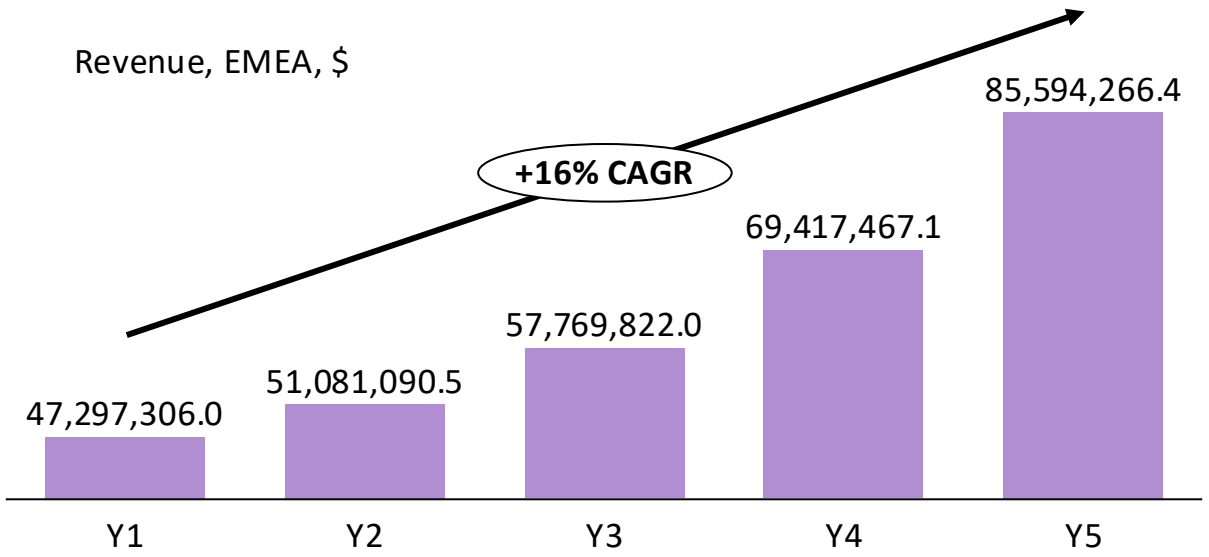
Unmatched Quality
European heritage standards emphasizing craftsmanship, authenticity, and elevated taste

Influencer Ambassadors
Postings of vintage fashion Try Ons and hidden gem finds

Sources: [1] MyThriftXchange, [2] Stanford GSB, [3] Thrift Town, [4] HAMMOQ (2026)

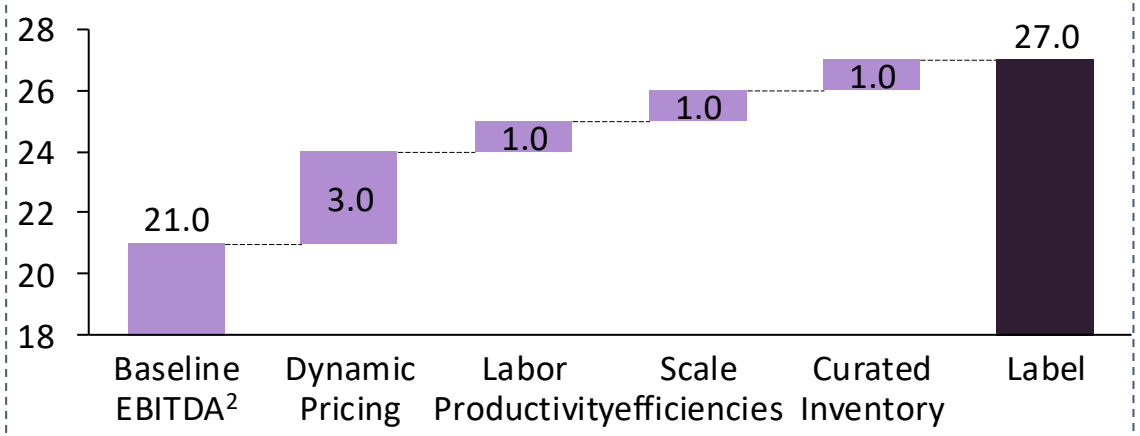
ReValue West delivers high-return growth and adds value with capital-efficient market entry

ABC Thrift USA Projected Revenue



5% organic growth + 3% premium product strategy growth + Store Expansion Revenue Growth

EBITDA Margin Increase Estimates Over 5 Years



ABC operates at ~33% EBITDA vs. ~26% industry in Europe[1], demonstrating proven outperformance. Applying this to ReValue West creates a clear path to margin expansion.

Key Performance Indicators

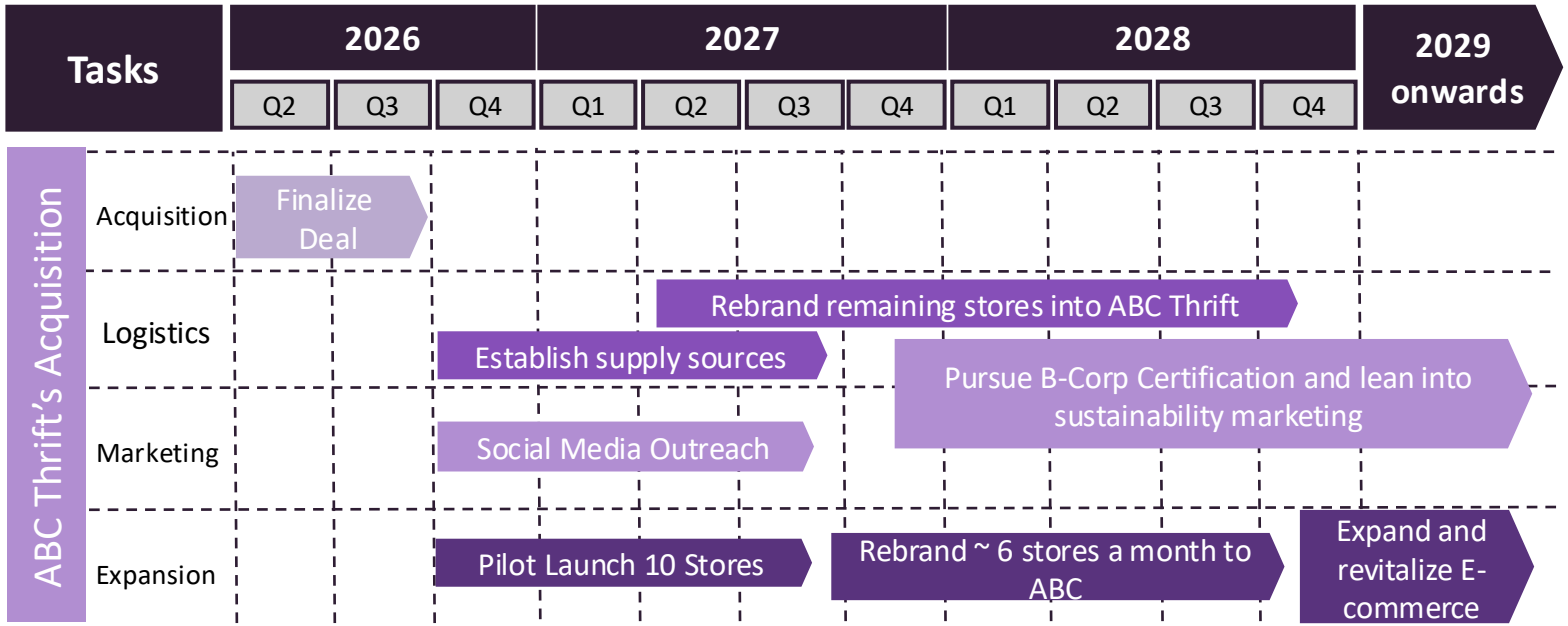
- $34.9M NPV
- 2.24x MOIC
- **Immediate** $47M increase in revenue

Company Valuation

- $78.8M ReValue West Purchase Price
- **~10–15x less capital required vs. full acquisition ($1B+)**

Sources: [1] Case, [2] See appendix for calculations

A phased execution roadmap ensures scalable growth while mitigating integration risk



Next Steps[3]



- Finalize TSA and Day 1 readiness
- Create pilot playbook and define KPI's
- Select flagship stores
- Secure suppliers

	Risks	Mitigations
1	Carve-out execution and separation complexity	Use three-in-a-box teams to ensure alignment between the buyer, seller, and target
2	Key leadership and workforce uncertainty	Retain key talent through incentives, Day 1 communication, and leadership continuity
3	Supply chain dependance on TSA	Secure supplier agreements pre-close and rapidly build an independent sourcing network[2]
4	Underperformance of flagship stores	Track performance through clear KPI's and keep flexibility with brand image
5	Customer confusion from brand transition	Execute a phased dual-brand rollout with pilot testing and clear brand transitions into ABC

Sources: [1] Case, [2] Debevoise & Plimpton (2023), [3] List All Experts (2026)

APPENDIX

Table of Content

1: Executive Summary
2: Decision Framework
3: Carve-out Acquisition
4: Phased Integration
5: Entering the US
6: Financial Justification
7: Timeline
8: For-Profit vs Non-Profit
9: E-commerce Considerations
10: E-commerce Demonstration
11: Why West and ABC's Positioning
12: Full Acquisition Comparison
13: EcoAgain Acqusition Comparison
14: Organic Growth Comparison
15: Case Study
18: KPIs for Flagship Stores
19: TSA Logistics
20: Cash Flow Calculations
21: Return Calculations
22: Scenario & Sensitivity Model

For Profit vs. Non-Profit

ABC Thrift Should Adopt a For-Profit Business Model Because…

ABC Thrift's Corporate Identity and Structural Incompatibility with Non-Profit Status

- ABC is a for-profit, investor-driven company
- Non-profit model requires separate entity, governance, and mission alignment
- Regulatory burden (IRS filings, board approvals)
  - **Limits speed and scalability**

Pricing Flexibility and Profitability Superiority of the For-Profit Model

- For-profit enables dynamic, demand-based pricing
- Capture premium value (e.g., $50 vs. $5 items)
- Better aligns with curated, higher-end positioning
  - **Higher margins and revenue potential**

For-Profit's Speed, Agility, and Capital Reinvestment Advantage

- Reinvest profits into growth, marketing, and expansion
- No reliance on donations, grants, or approvals
- Faster response to competitive and market changes
  - **Critical for scaling in a competitive U.S. market**

Brand Positioning and ABC's Heritage

- Built on curated, premium vintage retail experience
- Misaligned with charity-driven, low-price perception
- Enables distinct, aspirational brand positioning
  - **Stronger appeal to Gen Z and premium consumers**

E-Commerce Considerations and Forward Strategy

Why Not Standalone E-Commerce Strategy

- ABC Thrift's e-commerce has historically underperformed
- Thrift economics are store-led with low AOV, making shipping costs difficult to justify
- Requires significant upfront investment
- High CAC in a competitive resale landscape
- Lacks existing U.S. supply chain and fulfillment infrastructure
    - Standalone e-commerce is high-cost, high-risk, and misaligned with core strengths

E-Commerce Significance

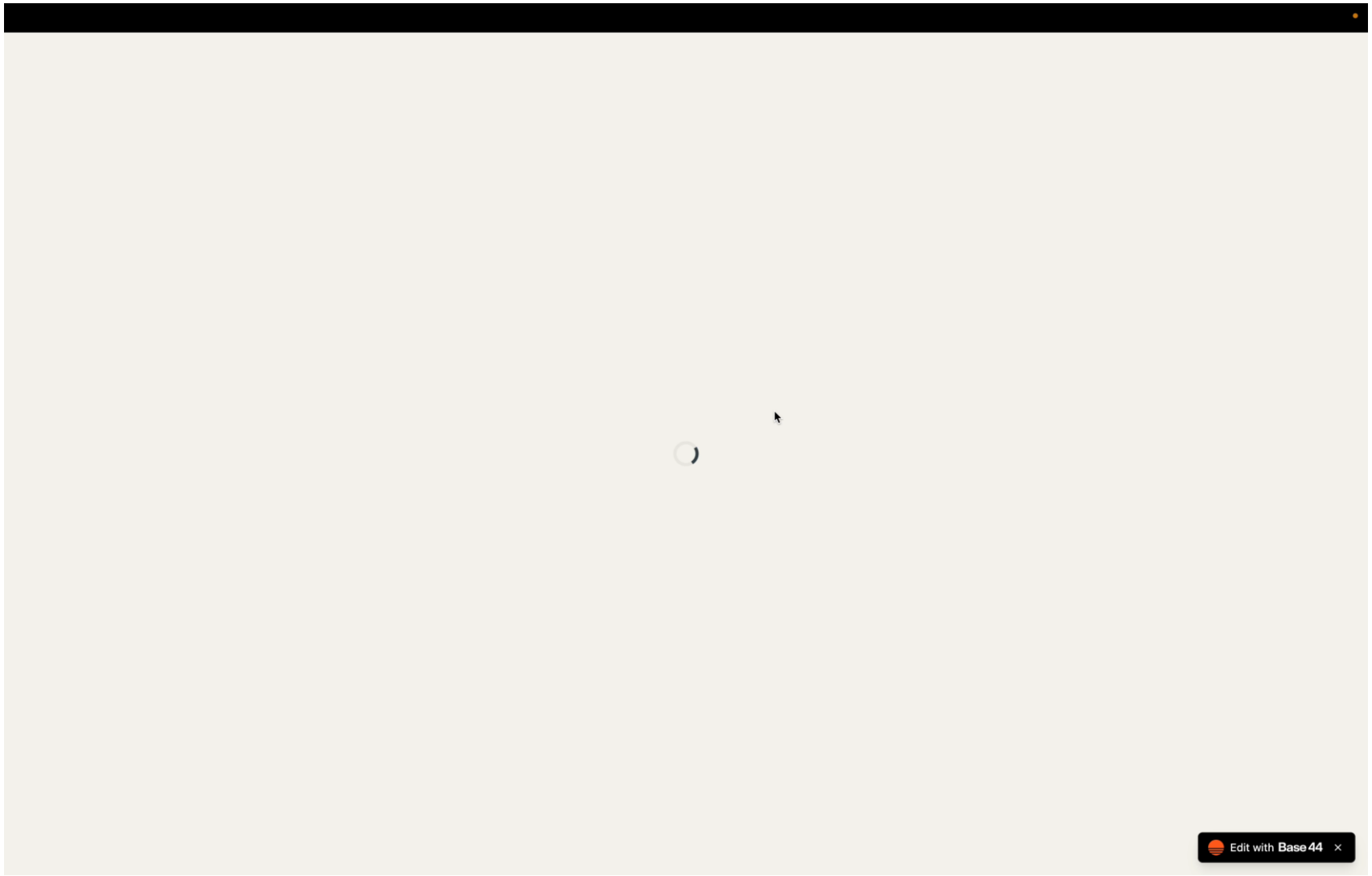
- E-commerce is a long-term growth channel for thrift retail
- Enables access to new customer segments
- Strong margins at scale (~75% GM, ~40% EBITDA in market)
- Complements physical stores through:
    - Omnichannel experience
    - Inventory optimization
- Requires higher price point and curated offerings to be viable
    - Important strategic lever, but not primary entry driver

Our E-Commerce Recommendation

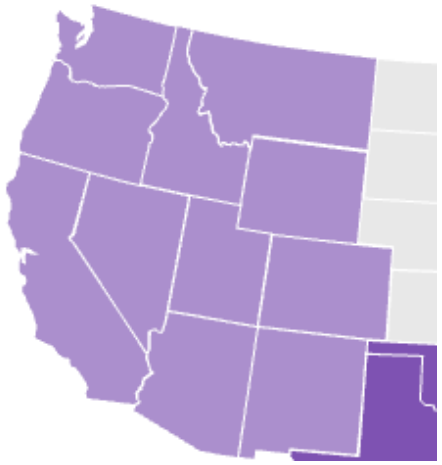
- Do not lead with e-commerce for U.S. entry
- Focus first on building a strong brick-and-mortar foundation via carve-out
- Use stores to:
    - Establish brand, supply chain, and inventory quality
- Phase in e-commerce after stabilization and full transition (Year 3+)
- Target:
    - Higher-priced curated items
    - Omnichannel (buy online, pick up in store)
- Leverage capital saved from carve-out vs full acquisition to invest selectively
    - E-commerce is a second-phase growth lever, not the entry strategy

Win in stores first, then scale digitally once supply, brand, and pricing power are established

E-Commerce Site Demonstration



Why the West and ABC Thrift's Positioning



Key Insight

The West is the optimal entry point where ABC Thrift's premium, curated model can win, scale, and expand

1. Market Attractiveness (Why the West)

- ~25% of U.S. thrift demand with strong growth tailwinds
- Dense urban hubs (LA, SF, Seattle) = high adoption and trend leadership
- 106-store footprint + 400+ white space locations
  - Large, scalable, and underpenetrated entry market

2. Strategic Fit (Why ABC Wins Here)

- Strength in curation, store experience, and premium retail
- Ability to price based on value vs fixed low-price models
- West consumers are less price-sensitive, more experience-driven
  - Strong alignment between ABC capabilities and customer demand

3. Positioning Strategy (How to Win)

- Shift from "low-price thrift" to "curated vintage experience"
- Focus on quality inventory, merchandising, and the treasure-hunt experience
- Target Gen Z / millennials for their beliefs regarding sustainability and uniqueness
  - Differentiate on experience, not price

Why Not Full Acquisition of ReValue: A full acquisition of ReValue is not practical due to a significant mismatch between capital required and incremental value created.

Full ReValue Acquisition Model (Benchmark)

ABC Thrift | Benchmark vs. Carve-Out

INPUTS

Assumption	Low	Base	High
Total Revenue	$274,860,000	$274,860,000	$274,860,000
EBITDA margin	31.0%	31.0%	31.0%
Entry multiple	9.0x	9.5x	10.0x
Control premium	15.0%	22.5%	30.0%
Total store count	616	616	616

CALCULATIONS

Metric	Low	Base	High
EBITDA	$85,206,600	$85,206,600	$85,206,600
Enterprise Value (pre-premium)	$766,859,400	$809,462,700	$852,066,000
Purchase Price (incl. premium)	**$881,888,310**	**$991,591,808**	**$1,107,685,800**
Price per Store	$1,431,637	$1,609,727	$1,798,191
Revenue per Store	$446,201	$446,201	$446,201
Implied EV/EBITDA	9.0x	9.5x	10.0x

COMPARISON vs. CARVE-OUT (links to RV_West_CarveOut tab)

Metric	Low	Base	High
Full ReValue Purchase Price	$881,888,310	$991,591,808	$1,107,685,800
West Carve-Out Purchase Price	$55,479,740	$78,797,312	$104,527,046
Premium Paid vs. Carve-Out	$826,408,570	$912,794,496	$1,003,158,754
Additional Stores Acquired	510	510	510
Additional Revenue Acquired	$227,562,694	$227,562,694	$227,562,694

Full acquisition requires nearly $1B in capital to acquire non-core assets, resulting in poor capital efficiency, over-scaled investment, and unnecessary execution risk relative to the $50M growth objective.

1. Excessive Capital Requirement

- Full acquisition cost: ~$992M
- ~12.5x capital than the carve-out for marginally relevant assets.

2. Poor Capital Efficiency

- Additional revenue gained: ~$228M | Incremental cost: ~$913M
- Implied efficiency:
  - Cost per $1 of revenue = ~$4.00 vs carve-out
  - Paying $900M+ for non-core revenue is not justified given the $50M growth target.

3. Misalignment with Growth Objective

- ABC would be overbuying scale it does not need, increasing risk without proportional benefit.

4. Integration and Execution Risk

- Full acquisition adds 510 additional stores across multiple regions + diverse customer segments and operating models
- Significantly increases:
  - Operational complexity
  - Integration cost
  - Execution risk

Why Not Full Acquisition of EcoAgain: EcoAgain's business model is misaligned with ABC Thrift's capabilities and strategic focus and requires significant capital for lower-quality returns

EcoAgain Acquisition Model (Alternative Target)			
ABC Thrift | Alternative Target | Weighted EBITDA Margin			
INPUTS			
Assumption	**Low**	**Base**	**High**
E-commerce Revenue	$316,000,000	$316,000,000	$316,000,000
Brick-and-mortar Revenue	$34,000,000	$34,000,000	$34,000,000
E-commerce EBITDA margin	42.0%	42.0%	42.0%
Brick EBITDA margin	15.0%	15.0%	15.0%
Entry multiple	6.0x	6.5x	7.0x
Control premium	15.0%	22.5%	30.0%
CALCULATIONS — Weighted EBITDA Margin			
Metric	**Low**	**Base**	**High**
Total Revenue	$350,000,000	$350,000,000	$350,000,000
E-commerce EBITDA	$132,720,000	$132,720,000	$132,720,000
Brick-and-mortar EBITDA	$5,100,000	$5,100,000	$5,100,000
Total EBITDA	**$137,820,000**	**$137,820,000**	**$137,820,000**
Weighted EBITDA margin	39.4%	39.4%	39.4%
Enterprise Value	$826,920,000	$895,830,000	$964,740,000
Purchase Price (incl. premium)	**$950,958,000**	**$1,097,391,750**	**$1,254,162,000**
Implied EV/EBITDA	6.0x	6.5x	7.0x

EcoAgain requires ~$1B+ of capital to acquire a digitally driven business that is misaligned with ABC's store-led capabilities, offering weaker strategic fit and higher execution risk than ReValue.

1. Misalignment with Core Operating Model
- ABC Thrift's e-commerce has historically underperformed vs. B&M stores
- Acquisition would require ABC to execute in a channel it lacks

2. Weak Brick-and-Mortar Economics (Core Entry Channel)
- B&M EBITDA margin: 15% vs. ReValue's ~31%
- B&M revenue: ~$34M (~10% of total)
- EcoAgain's physical retail is small and underperforming

3. Overpaying for Non-Core Value
- Purchase price: ~$1.1B
- Driven by high-margin e-commerce valuation (42% EBITDA)
- ABC would be paying a premium for digital capabilities it cannot fully utilize while taking on integration and execution risk

4. Lower Strategic Synergy
- EcoAgain: Digital-first model with a less developed store network and donor supply chain
  - Lacks the immediate operating platform needed for entry

5. Higher Execution Risk
- Integration requires managing a complex e-commerce platform
- Risk of value destruction if e-commerce underperforms

Why Not Organic Growth (Greenfield Build): A greenfield build requires too much time, capital, and execution risk to achieve the $50M growth target within the required timeframe.

Greenfield Build Model (Baseline)

ABC Thrift | Build from Scratch | Revenue Ramp | Break-Even Analysis

INPUTS

Assumption	Low	Base	High
Target revenue ($50M)	$50,000,000	$50,000,000	$50,000,000
Revenue per store	$446,201	$446,201	$446,201
Cost per store (build)	$300,000	$400,000	$500,000
Brand build cost	$5,000,000	$12,500,000	$20,000,000
Supply chain build cost	$10,000,000	$20,000,000	$30,000,000
Ramp: Year 1 %	50.0%	50.0%	50.0%
Ramp: Year 2 %	75.0%	75.0%	75.0%
Ramp: Year 3+ %	100.0%	100.0%	100.0%
EBITDA margin (mature)	31.0%	31.0%	33.0%

BREAK-EVEN ANALYSIS

Metric	Low	Base	High
Stores needed (break-even for $50M)	113	113	113
Full run-rate revenue (at break-even s	$50,420,713	$50,420,713	$50,420,713
Total store build cost	$33,900,000	$45,200,000	$56,500,000
Brand build cost	$5,000,000	$12,500,000	$20,000,000
Supply chain build cost	$10,000,000	$20,000,000	$30,000,000
TOTAL GREENFIELD INVESTMENT	**$48,900,000**	**$77,700,000**	**$106,500,000**

REVENUE RAMP — Base Case (113 Stores)

Year	Y1	Y2	Y3	Y4	Y5
Ramp factor	50.0%	75.0%	100.0%	100.0%	100.0%
Revenue	$25,210,357	$37,815,535	$50,420,713	$50,420,713	$50,420,713
EBITDA margin	15.5%	23.3%	31.0%	31.0%	31.0%
EBITDA	$8,792,112	$15,630,421	$15,630,421	$15,630,421	-
Cumulative Revenue	$25,210,357	$63,025,891	$113,446,604	$163,867,317	$214,288,030
Meets $50M target?	NO	YES	YES	YES	NO

Greenfield build requires ~$80M and 3+ years to reach scale, making it slower, riskier, and less capital-efficient than acquiring an existing platform through a carve-out.

1. Slow Time to Scale

- Requires **~113 stores** to reach $50M revenue
- Does not meet $50M target until Year 3+
  - Too slow given investor pressure for near-term growth

2. High Upfront Capital Investment

- Total investment: ~$77.7M
- Comparable to carve-out cost (~$78M) without:
  - No immediate revenue base
  - No existing operations
    - Same capital, lower initial returns

3. Significant Execution Risk

- Must build brand awareness, donor/supply relationships, store operations, and logistics from scratch
- For-profit thrift stores depend heavily on established non-profit supply chains, risking inventory shortage, slow customer adoption, and operational inefficiencies

4. Inferior to Carve-Out Alternative

- Same cost but slower growth (3+ years) and higher execution risk
- A carve-out immediate brings a $47M revenue base, established operations, and a faster path to scale
  - Greenfield loses on speed, risk, and capital efficiency

Case Study: Kroger/Albertsons and C&S Wholesale Carve-Out

Transaction Overview

- $24.6B merger required divestiture of 400+ stores
- C&S acquired 413–579 stores across 17 states (including West Coast)
  - Distribution centers, offices, private labels
  - Brand licensing and operational infrastructure
- Created a fully standalone regional business at Day 1

Why This Mirrors ABC Thrift Strategy

- Geographic carve-out:
  - Buyer targeted region
  - Seller divested non-core assets
- Operating platform transferred:
  - Stores, supply chain, name, and systems enabled functionality
- Workforce continuity maintained:
  - Retained employees to minimize disruptions

Key Lessons for ABC Thrift

- Carve-outs provide immediate scale without full acquisition complexity
- TSA and asset transfer enables Day 1 operational continuity
- **C&S retained the right to operate under existing store names, preserving customers**
- Lower capital and risk vs:
  - Full acquisition
  - Greenfield build

Carve-outs can preserve brand identity through licensing, enabling immediate continuity while transitioning to a new operating model, reducing risk and accelerating market entry

KPI's for flagship stores

Pilot Store KPI's

KPI's	Why
Revenue per Store +10-15% growth in revenue within pilot stores	**Revenue per Store** Our business model is supposed to generate more revenue than Revalue's model
Customer Traffic +5-10% increase in foot traffic	**Customer Traffic** Ensures customer approval of new model
EBITDA Margins +3-5% growth in EBITDA margins	**EBITDA Margins** Shows that ABC's Brick-and-Mortar expertise excels even in the West where average margins are 17%

TSA Logistics and Costs

TSA Functionality in a Carve-Out:

- Provides Day 1 operational continuity
- Seller (ReValue) continues running critical functions (IT, HR, finance, payroll)

Acts as a temporary operating bridge

- Allows ABC Thrift to operate immediately without standalone infrastructure
- Covers shared services that cannot be separated such as supply chain coordination, and back-office functions

Reduces execution and disruption risk

- Prevents store downtime, payroll issues, and inventory disruptions
- Store-level operations remain unchanged during transition

Requires structured exit plan

- Phased reduction (100% → 50% → 25%) to avoid long-term dependency

TSA provides critical Day 1 operational continuity at a temporary ~11% cost of revenue, but disciplined, phased exit unlocks ~$5M annual savings and is a key driver of post-acquisition value creation.

TSA Cost + Exit Model

ABC Thrift | Transition Services Agreement | 12-Month Duration

INPUTS

Assumption	Low	Base	High
Revenue subject to TSA	$47,297,306	$47,297,306	$47,297,306
TSA base rate	10.0%	10.0%	10.0%
TSA markup	5.0%	10.0%	15.0%
TSA duration (months)	12	12	12
TSA exit — phased months	3	6	9

CALCULATIONS

Metric	Low	Base	High
TSA base cost (annual)	$4,729,731	$4,729,731	$4,729,731
TSA markup amount	$236,487	$472,973	$709,460
TOTAL TSA COST (12 months)	**$4,966,217**	**$5,202,704**	**$5,439,190**
Monthly TSA cost	$413,851	$433,559	$453,266
TSA as % of revenue	10.5%	11.0%	11.5%

POST-EXIT SAVINGS (Annual Run-Rate After TSA Expires)

Metric	Low	Base	High
Annual TSA cost avoided (savings)	**$4,966,217**	**$5,202,704**	**$5,439,190**
5-Year cumulative savings (Y2–Y5)	$19,864,869	$20,810,815	$21,756,761
NPV of savings (10% WACC, Y2–Y5)	$14,311,127	$14,992,610	$15,674,092

TSA EXIT PHASE-OUT SCHEDULE (Base Case)

Period	Cost	% of Full	Cumulative
Months 1–6 (full TSA)	$2,601,352	100.0%	$2,601,352
Months 7–9 (50% phase-out)	$650,338	50.0%	$650,339
Months 10–12 (25% wind-down)	$325,169	25.0%	$975,508
TOTAL TSA SPEND (phased)	**$3,576,859**		

Cash Flow & Revenue Calculations

Operating Model — Post-Acquisition Economics (ReValue West)

ABC Thrift | 106 Stores | Baseline vs. Improved

INPUTS

Assumption	Baseline	Improved	Delta	Per Store (Base)	Per Store (Impr.)	Notes
Revenue per store (avg)	$446,201	$446,201	-	$446,201	$446,201	*$/store | Benchmark*
Store count	106	106	0	N/A	N/A	*stores*
EBITDA margin — baseline	21.0%					*% | West segment baseline*
EBITDA margin — improved		27.0%				*% | ABC/ReValue avg brick margin 33%*
D&A rate	4.0%	4.0%				*% | 3–5% of revenue; base 4%*
Maintenance capex rate	3.0%	3.0%				*% | 2–4% of revenue; base 3%*
Tax rate	25.0%	25.0%				*% | 25%*
Organic Growth Rate	5.0%	5.0%				
Growth from Premium Pricing Shift	-%	3.0%				
Total revenue growth rate (p.a.)	5.0%	8.0%				*% | Base scenario 5%*

CASHFLOW

Metric	Y1	Y2	Y3	Y4	Y5	Total
Total Revenue	$47,297,306	$51,081,090	$57,769,822	$69,417,467	$85,594,266	$311,159,952
EBITDA	$7,567,569	$10,471,624	$13,864,757	$17,701,454	$23,110,452	$72,715,856
EBITDA margin	16.0%	20.5%	24.0%	25.5%	27.0%	
D&A	$1,891,892	$2,043,244	$2,310,793	$2,776,699	$3,423,771	$12,446,398
EBIT (EBITDA – D&A)	$5,675,677	$8,428,380	$11,821,514	$15,658,210	$21,067,208	$62,650,989
NOPAT (EBIT × (1–tax))	$4,256,758	$6,321,285	$8,866,135	$11,743,658	$15,800,406	$46,988,242
Maintenance Capex	$1,418,919	$1,532,433	$1,733,095	$2,082,524	$2,567,828	$9,334,799
Free Cash Flow (simplified)	**$4,729,731**	**$6,832,096**	**$6,443,833**	**$7,937,833**	**$10,656,349**	$36,599,841

EXPANSION MODELING

Metric	Y1	Y2	Y3	Y4	Y5	Notes
# of stores added each year	0	0	10	15	20	
Effective new # of stores			5	12.5	17.5	*takes into account stores only 50% profitable in first year*
Effective total # of stores	106	106	111	123.5	141	
Expansion Capex			$3,000,000	$4,500,000	$6,000,000	
Revenue per Store	$446,201	$481,897	$520,449	$562,085	$607,052	

5-YEAR REVENUE PROJECTION (Base Case — Improved Margin)

Metric	Y1	Y2	Y3	Y4	Y5	Notes
Revenue	$47,297,306	$51,081,090	$57,769,822	$69,417,467	$85,594,266	
EBITDA	$7,567,569	$10,471,624	$13,864,757	$17,701,454	$23,110,452	
EBITDA margin	16.0%	20.5%	24.0%	25.5%	27.0%	

Y1 EBITDA reduced by 5% from initial to account for TSA costs & additional costs for European for initial flagships

Y2 EBITDA reduced by 2% from initial to account for TSA costs & additional costs for European for initial flagships

Return Calculations

Return Model — NPV / IRR / Payback (ReValue West)							
ABC Thrift | Unlevered FCF | 10% WACC | 5-Year Horizon + Terminal Value							
KEY ASSUMPTIONS (Self-Contained)							
Assumption	**Value**						**Notes**
Y1 Revenue (106 stores × $446K)	$47,297,306						*$ | Base*
Revenue growth rate (p.a.)	5.0%						*% | Scenario base 5%*
Tax rate	25.0%						*% | 25%*
NWC rate (% of revenue)	10.0%						*% | 10% of incremental revenue*
Maintenance capex rate (% revenue)	3.0%						*% | Base 3%*
WACC	10.0%						*% | Discount rate*
Exit multiple	8.0x						*x | Same as entry (base)*
Purchase price (base)	$78,797,312						*$ | From RV_West tab: $78.8M base*
Initial NWC investment (Y0)	$4,729,731						*$ | 10% of Y1 revenue, funded at close*
Y1 integration costs	$7,021,622						*$ | 60% of $11.7M base integration*
Y2 integration costs	$4,681,082						*$ | 40% of $11.7M base integration*
CASH FLOW MODEL							
Line Item	**Y0**	**Y1**	**Y2**	**Y3**	**Y4**	**Y5**	**Notes**
Revenue	-	$47,297,306	$51,081,090	$57,769,822	$69,417,467	$85,594,266	
EBITDA margin	-%	16.0%	20.5%	24.0%	25.5%	27.0%	*% | Ramp 20%→33%*
EBITDA	-	$7,567,569	$10,471,624	$13,864,757	$17,701,454	$23,110,452	*$*
Taxes (@25%)	-	$1,891,892	$2,617,906	$3,466,189	$4,425,364	$5,777,613	*$*
EBITDA after tax	-	$5,675,677	$7,853,718	$10,398,568	$13,276,091	$17,332,839	*$ | Proxy for UFCF before WC/capex*
ΔWorking Capital	$4,729,731	-	$378,378	$668,873	$1,164,765	$1,617,680	*$ | Y0=initial fund; Y2+= incremental*
Maintenance Capex	-	$1,418,919	$1,532,433	$1,733,095	$2,082,524	$2,567,828	*$*
Integration Costs	-	$7,021,622	$4,681,082	-	-	-	*$*
Purchase Price	($78,797,312)	-	-	-	-	-	*$ | Paid at Y0 (negative outflow)*
Terminal Value	-	-	-	-	-	$184,883,615	*$ | Y5 EBITDA × exit multiple*
FREE CASH FLOW	**($83,527,043)**	**($2,764,864)**	**$1,261,824**	**$7,996,600**	**$10,028,802**	**$198,030,946**	*$ | Y5 includes terminal value*
Discount Factor (1/(1+WACC)^n)	100.0%	90.9%	82.6%	75.1%	68.3%	62.1%	
PV of Cash Flow	($83,527,043)	($2,513,513)	$1,042,830	$6,007,964	$6,849,807	$122,961,637	
Cumulative FCF (undiscounted)	($83,527,043)	($86,291,907)	($85,030,083)	($77,033,482)	($67,004,680)	$131,026,266	
RETURN METRICS							
Metric	**Value**						**Notes**
NPV (sum of PV cash flows)	**$50,821,682**						*$ | Positive = value creation*
IRR	**21.2%**						*% | Hurdle = WACC 10%*
MOIC (total cash in / out)	**2.6x**						*x | Total returns / initial investment*
Payback year (first positive cumul.)	>5						*yr from Y0 | Includes terminal value in Y5*
Total Investment (PP + NWC)	$83,527,043						*$ | Upfront cash out*
Y5 EBITDA	$23,110,452						*$*
Terminal Value	$184,883,615						*$*
Revenue CAGR (Y1→Y5)	16.0%						*% | Compound annual growth*

Scenario & Sensitivity Model

Scenario & Sensitivity Model

ABC Thrift | ReValue West Carve-Out | Low / Base / High

SCENARIO ASSUMPTIONS (Override Inputs)

Driver	Low / Downside	Base Case	High / Upside
Revenue growth rate (p.a.)	(5.0%)	-%	5.0%
EBITDA margin improvement (pp)	-%	5.0%	10.0%
Entry multiple	6.0x	8.0x	10.0x
Baseline EBITDA margin	17.0%	17.0%	17.0%
Base Revenue (Y1)	$47,297,306	$47,297,306	$47,297,306

DERIVED SCENARIO OUTPUTS

Metric	Low / Downside	Base Case	High / Upside	Y1	Y2
Y1 Revenue	$47,297,306	$ 47,297,306.00	$47,297,306		
Y2 Revenue	$48,527,036	$ 51,081,090.48	$53,635,145		
Y3 Revenue	$54,881,331	$ 57,769,821.95	$60,658,313		
Y4 Revenue	$65,946,594	$ 69,417,467.13	$72,888,340		
Y5 Revenue	$81,314,553	$ 85,594,266.36	$89,873,980		
Y1 EBITDA margin	21.0%	21.0%	21.0%		
Y5 EBITDA margin	22.0%	27.0%	29.0%		
Y1 EBITDA	$9,932,434	$9,932,434	$9,932,434		
Y5 EBITDA	$17,889,202	$23,110,452	$26,063,454		
Purchase Price	**$55,479,740**	**$78,797,312**	**$104,527,046**		

SENSITIVITY TABLE — Purchase Price vs. Multiple vs. Premium

EBITDA × Multiple	15% Prem	22.5% Prem	30% Prem
6x multiple	$55,479,740	$59,097,984	$62,716,228
8x multiple	$73,972,987	$78,797,312	$83,621,637
10x multiple	$92,466,233	$98,496,640	$104,527,046

SCENARIO SUMMARY

KPI	Low / Worst	Base Case	High / Best
Y5 Revenue	$81,314,553	$85,594,266	$89,873,980
Y5 EBITDA	$17,889,202	$23,110,452	$26,063,454
Y5 EBITDA %	22.0%	27.0%	29.0%
Purchase Price	$55,479,740	$78,797,312	$104,527,046
Risk Level	Medium	Medium	Low
Time to Target	4–5 yrs	3–4 yrs	2–3 yrs

ReValue West Estimated Baseline EBITDA

Region	Revenue ($B)	EBITDA %	Weighted EBITDA ($B)
Northeast	2.16	0.18	0.3888
Midwest	1.8	0.31	0.558
South	1.77	0.31	0.5487
West	2	0.17	0.34
Prairie Provinces	0.42	0.32	0.1344
Western Canada	0.63	0.31	0.1953
Central Canada	0	0.32	0
Northern Territories	0.76	0.32	0.2432
Total	9.54		2.4084
Weighted Avg EBITDA	0.25245283		
ReValue Avg EBITDA	0.31		
Performance Multiple	1.227952167		
West Market EBITDA	0.17		
Estimated ReValue West EBITDA	0.208751868		